THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 2

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A person with a loan of Rs 50,000 at 12 per cent annual interest repays after one year. The interest is: 1

(a) Rs 5,000 **(b)** Rs 600 **(c)** Rs 12,000 **(d)** Rs 6,000

2. Assertion (A): Cheap and affordable credit is important for development. Reason (R): It enables people to undertake productive activities. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

3. A farmer cannot repay a loan after two crop failures and sells his land. This shows: 1

(a) a demand deposit **(b)** a cheque payment
(c) a debt trap **(d)** a barter exchange

4. Match: 1 Collateral; 2 Demand deposit; 3 Informal credit; 4 SHG with A moneylender; B group savings; C asset pledged; D withdrawn on demand. Correct: 1

(a) 1-C, 2-D, 3-A, 4-B **(b)** 1-B, 2-A, 3-D, 4-C
(c) 1-A, 2-B, 3-C, 4-D **(d)** 1-D, 2-C, 3-B, 4-A

5. A borrower is offered two loans: one at 7 per cent interest from a bank and one at 24 per cent from a moneylender. Other terms are the same. Which is cheaper? 1

(a) cannot say **(b)** the bank loan
(c) both cost the same **(d)** the moneylender loan

6. Consider: (i) Higher collateral requirements make it harder for the poor to get bank credit; (ii) Self-Help Groups lend without collateral; (iii) A debt trap can result from high interest. Which are correct? 1

(a) (ii) and (iii) only **(b)** (i) only
(c) (i) and (ii) only **(d)** all three

7. What would happen if the rupee were not legal tender? 1

(a) barter would end **(b)** people could refuse it in payment
(c) RBI would stop **(d)** banks would lend more

8. Which of the following is NOT likely to be an advantage of a Self-Help Group? 1

(a) small loans **(b)** reasonable interest
(c) no collateral **(d)** very high interest rates

9. In a barter economy, why would a tailor find it hard to get food? 1

(a) barter is illegal
(b) the farmers may not want his services at that time
(c) the farmers lack money
(d) tailors cannot work

10. Consider: (i) Banks and cooperatives are formal sources; (ii) Moneylenders are formal; (iii) RBI supervises informal credit. Which is correct? 1

(a) (i) and (ii) **(b)** (i) and (iii) **(c)** (ii) only **(d)** (i) only

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why do poor households avoid banks? 2

12. How does credit reach rural areas? 2

13. Why is affordable credit essential for small industries? 2

14. Why is the legal tender status important? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Differentiate between credit and money. 3

16. What are the risks of borrowing for a small business? 3

17. Explain how deposits and loans are linked. 3

OR

Examine how a debt trap harms a borrower. 3

18. How does lack of formal credit affect the poor? 3

OR

A farmer borrows Rs 40,000 at 15 per cent per annum from a moneylender and Rs 40,000 at 7 per cent from a bank. Compare interest paid for one year. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Discuss the functioning of banks and their role in the credit system. 5

OR

Describe the role of the RBI in the monetary system. 5

20. Explain, with the help of examples, how credit may help or harm. 5

OR

Write an essay on the significance of savings and credit for the poor. 5

END OF QUESTION PAPER — Total: 40 Marks

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